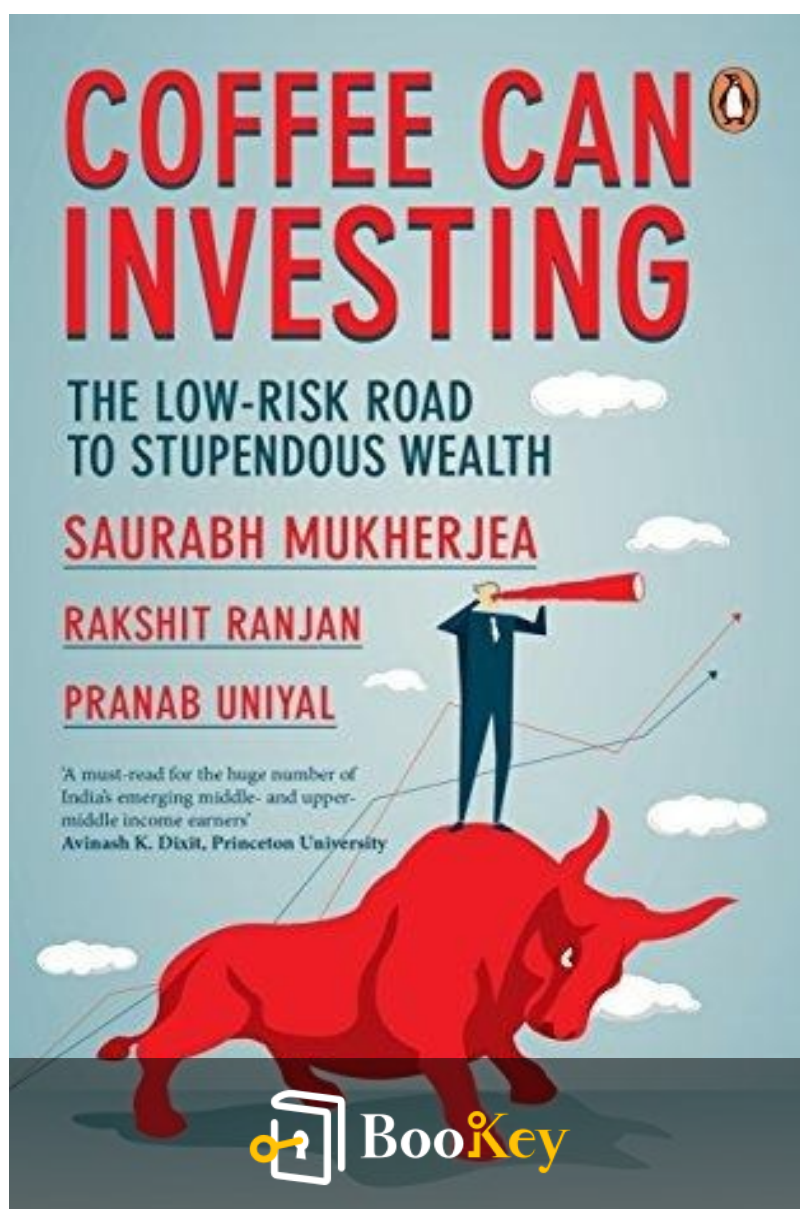


Coffee Can Investing PDF

Saurabh Mukherjea



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Long-Term Wealth Building Through Unwavering
Investment Strategies

Written by Bookey

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About the book

In a world dominated by short-term market noise and fleeting trends, "Coffee Can Investing" by Saurabh Mukherjea stands out as a beacon of insightful simplicity and unwavering discipline. This compelling book draws inspiration from the age-old wisdom of legendary investors, advocating for a patient, long-term investment strategy that defies conventional trading habits. Mukherjea meticulously crafts a blueprint for achieving sustainable wealth by identifying and holding high-quality stocks with unwavering conviction, metaphorically likening this approach to the old custom of stashing valuable assets in a coffee can. Rich with empirical evidence, real-world anecdotes, and practical advice, "Coffee Can Investing" doesn't merely offer a technique for market success; it delivers a transformative investment philosophy designed to enrich one's financial future with stability, resilience, and immense potential returns. Dive into this refreshing paradigm and discover how the serenity of long-term thinking can revolutionize your investment journey.

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About the author

Saurabh Mukherjea is a distinguished finance professional and prominent figure in the Indian investment landscape. He is the founder and Chief Investment Officer of Marcellus Investment Managers and has an impressive track record of leadership in the financial sector. Prior to establishing Marcellus, he served as the CEO of Institutional Equities at Ambit Capital, where he garnered recognition for his sharp market insights and investment strategies. Educated in the UK, Mukherjea holds a degree from the London School of Economics, and he leverages his extensive academic and professional background to author several bestsellers on investing, including "Coffee Can Investing." His writings and research consistently emphasize long-term investment philosophies, quality businesses, and the Indian market's vast potential.

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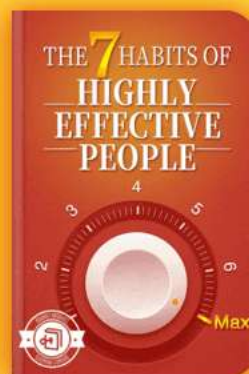
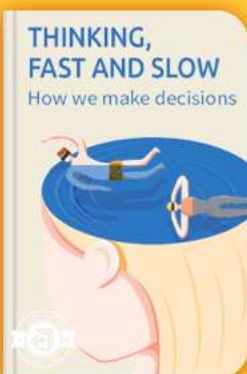


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Chapter 1 : Mr Talwar's Uncertain Future

Chapter 2 : Coffee Can Investing

Chapter 3 : Expenses Matter

Chapter 4 : The Real Estate Trap

Chapter 5 : Small Is Beautiful

Chapter 6 : How Patience and Quality Intertwine

Chapter 7 : Pulling It All Together

Chapter 8 : Designing Your Own Financial Plan

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Chapter 1 Summary : Mr Talwar's Uncertain Future



Chapter 1 Summary: Coffee Can Investing

Introduction

An ancient Chinese proverb suggests that while the best time to plant a tree was long ago, the second-best time to start investing or building wealth is now.

An Evening of Celebration and Reflection

On a hot June evening in North India, the Talwars celebrated

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their son Ronit graduating with a commendable academic score. Yogesh Talwar, a corporate executive, felt a sense of unease amidst the festivities, reflecting on his career and financial situation. Despite a successful professional journey, he felt financially insecure at age fifty, realizing he had not saved enough for retirement. He and his wife, Kusum, originally embraced traditional investments like fixed deposits and gold, largely avoiding the stock market due to perceived risks.

Yogesh's Career and Investment Journey

Yogesh's career began promisingly in 1990, as India opened up its economy, but over time he experienced stagnant growth in his financial standing. High property prices led him to invest heavily in real estate, while also dabbling in stocks but with little success due to mismanagement and high turnover rates that benefitted brokers more than him. A stock market crash in 2008, followed by sluggish real estate demand, deeply impacted his portfolio, leaving him worried about his financial future as retirement loomed.

Financial Challenges Faced by Yogesh

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As he approached retirement, Yogesh realized he needed significant capital to maintain a comfortable lifestyle. He sought clarity on his investments and future goals. An alarming realization came when he discovered he had earned a mere 4% return per annum on his investments over 27 years. Meeting with financial advisor Nikhil, he began to understand his portfolio's deficiencies and the urgent need for better investment strategies.

Mr. Sanghvi's Parallel Struggles

Similar concerns plagued Mukesh Sanghvi, a larger-scale entrepreneur dealing with competitive pressures in the manufacturing sector. A financially comfortable life meant high annual expenses and the need for significant wealth to sustain his family. His aggressive stock market strategies had backfired, and he faced uncertainty about his financial future after liquidating his business.

Nikhil's Advisory Role

Nikhil introduced a structured approach to investment and financial planning, emphasizing the importance of long-term equity investments over traditional assets. He encouraged

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both Yogesh and Mukesh to adopt a disciplined investment strategy, quantifying their net worth, financial goals, and the potential returns necessary to sustain their lifestyles.

Common Investment Mistakes

Both men exemplified common investment errors, including lack of clear objectives, excessive trading, poor diversification, high fees, chasing short-term returns, market timing attempts, and neglecting the impact of inflation and taxes on real returns.

The Coffee Can Manifesto

The chapter introduces the concept of the "Coffee Can Portfolio," advocating for a disciplined and patient long-term investing approach in equities, which historically outperforms traditional assets like real estate and fixed deposits. The upcoming chapters promise to delve deeper into strategies for effective investing, the impact of expenses, and the potential for wealth creation in the Indian market.

Chapter Takeaways

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1. Establish clear investment objectives and integrate them into a financial plan.
2. Avoid relying solely on traditional investment vehicles such as fixed deposits, as equities historically offer superior returns.
3. Embrace equity as a powerful long-term investment strategy, while remaining patient and minimizing fees for enhanced financial growth.

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Chapter 2 Summary : Coffee Can Investing

Section	Summary
Framing the investment problem properly	Investment challenges arise from emotional decision-making and misguided beliefs. Successful investing focuses on selecting the right stocks and holding them long-term rather than engaging in short-term trading.
Investment philosophies from the legends	Investors like Warren Buffett and Akash Prakash stress understanding businesses, ensuring strong management, and maintaining a long-term investment strategy.
The Coffee Can Portfolio: Robust returns with a low degree of uncertainty	This concept involves buying quality stocks and holding them for extended periods, as demonstrated by historical data showing impressive returns during market stress.
The Coffee Can Portfolio comes to India	In India, the portfolio targets high-quality firms with at least 10% annual revenue growth and a 15% pre-tax ROCE, showing consistent outperformance against benchmarks.
Why does the Coffee Can Portfolio perform so well?	The strategy identifies companies with sustainable growth and competitive advantages, demonstrating resilience during economic volatility.
Creating your Coffee Can Portfolio today	The 2017 portfolio involves selecting companies that meet defined filters while advocating a buy-and-hold strategy for a decade.
The three key takeaways from this chapter	1. Intermediaries complicate investing: Quality firms and long-term positions are crucial for success. 2. The Coffee Can Portfolio excels: Historical outperformance and effective risk management. 3. Sustaining greatness: Focus on companies with lasting competitive advantages driven by strong management.

Framing the investment problem properly

Investing often presents challenges due to emotional decision-making and a lack of sound strategies. The story of Sir Isaac Newton, who lost substantial funds in the South Sea Company despite his intellect, illustrates this struggle.

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Instead of focusing on crowd emotions, successful investing hinges on answering which stocks to buy and the duration to hold them. Common misconceptions, particularly the belief that higher returns come from higher risks, mislead investors into short-term trading or "punting," where they possess less information than professional fund managers, resulting in financial losses.

Investment philosophies from the legends

Lessons from seasoned investors like Warren Buffett and Akash Prakash emphasize the importance of understanding the business, ensuring strong management, and investing for the long term. Buffett advocates for investing in companies with enduring competitive advantages and suggests a holding period of forever for superior businesses. Similarly, Akash Prakash highlights the significance of trust in management and prudent capital allocation.

The Coffee Can Portfolio: Robust returns with a low degree of uncertainty

The Coffee Can Portfolio concept, first introduced by Robert Kirby, involves buying quality stocks and holding them for a

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long duration. Ambit Capital has applied this methodology in India, selecting firms that sustain growth and return on capital over time. Historical data indicates this strategy yields impressive returns, particularly during market stress.

The Coffee Can Portfolio comes to India

For the Indian market, the Coffee Can Portfolio includes investing in high-quality firms that consistently achieve a minimum of 10% annual revenue growth and a pre-tax return on capital employed (ROCE) of at least 15%. Back-testing shows that this approach consistently outperforms market benchmarks even during downturns.

Why does the Coffee Can Portfolio perform so well?

The Coffee Can strategy focuses on identifying companies capable of sustainable growth and enduring competitive advantages. Successful firms exhibit resilience during economic volatility, possess well-defined management strategies, and foster innovation.

Creating your Coffee Can Portfolio today

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An updated Coffee Can Portfolio for 2017 involves selecting companies that meet earlier-defined filters, promoting a buy-and-hold strategy to be maintained for a decade.

The three key takeaways from this chapter:

1.

Intermediaries complicate investing

: Many investors face hurdles due to inadequate guidance and misleading theories that associate risks with returns. Investing in quality firms and maintaining long-term positions is crucial for success.

2.

The Coffee Can Portfolio excels

: This strategy, rooted in sound financial principles, demonstrates historical outperformance against benchmarks while also effectively managing risk.

3.

Sustaining greatness

: The Coffee Can approach seeks companies with lasting competitive advantages, demonstrating that durable businesses can thrive through market fluctuations, often driven by solid management tactics.

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Example

Key Point: The Coffee Can Portfolio advocates for long-term investment in quality stocks.

Example: Imagine you're planting a garden where you carefully select the best seeds—resilient flowers or robust vegetables. Just like tending to your garden, where you water and nurture while avoiding the pitfalls of weeds, investing through the Coffee Can Portfolio means choosing high-quality stocks and nurturing them through dedication and patience. Instead of hopping from one plant to the next, risking failure with quick gains, your focus is on these selected firms that show consistent growth, thriving year after year, much like your flourishing garden. This long-term commitment not only builds wealth but also provides you with a sense of security and satisfaction as you watch your solid investments appreciate over time.

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Critical Thinking

Key Point: Investment strategies should be critically assessed rather than blindly followed.

Critical Interpretation: While the Coffee Can Portfolio is lauded for its historical performance and sound investment philosophy, readers should beware of over-reliance on any single strategy. Despite proponents highlighting its merits, such as those by Mukherjea regarding lower risk and sustained returns, skepticism remains prudent. Markets are inherently dynamic, and what worked in the past may not be indicative of future success; this is an important reminder that investors need to consider broader economic conditions and individual financial goals. Additional insights from sources like 'A Random Walk Down Wall Street' by Burton Malkiel further suggest that no investment strategy is foolproof, emphasizing the necessity of diverse approaches.

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Chapter 3 Summary : Expenses Matter

Section	Summary
Mr Talwar's Expensive Investment Products	Mr. Talwar struggled financially due to high expenses from ULIPs and stock transactions, stressing the need for investors to focus on net returns.
Expenses, Expenses and More Expenses	Investors face three main expenses: transaction fees, annual fees for managed funds, and hidden fees in products, which can harm long-term financial health.
Fund Expenses Compound Too!	Higher expense ratios in mutual funds lead to significantly lower long-term returns, overshadowing gross return considerations.
Past, Present and Future	The Indian portfolio management industry has seen increased competition and lower-cost options due to regulatory changes.
Evolution of Mutual Funds	Mutual funds have evolved from their origins in the Netherlands to India, with recent efforts aimed at lowering expense ratios.
The Alpha Squeeze in Indian Mutual Funds	Actively managed funds have shown diminishing alpha, with documented underperformance compared to benchmarks.
Inconsistency in Mutual Fund Performance	Large-cap equity funds often show inconsistent performance, challenging the reliability of past results to forecast future success.
Costs Dictate the Flows	A shift toward passive funds in the U.S. is mirrored in India, reflecting a preference for lower-cost investment options.
Developments in India	SEBI's regulations have capped expense ratios and made direct schemes accessible, enhancing investor empowerment.
Direct Schemes: SEBI's Knockout Punch	Direct schemes eliminate distributor commissions, allowing higher returns over time as awareness increases.
Conclusion: The Future is Looking Brighter for Mr Talwar	The move to direct purchases and advisory models aligns interests better, promising improved net returns for investors.
Three Key Takeaways	1. Fund expenses affect long-term returns due to compounding. 2. Low alpha in large-cap funds favors passive investment. 3. Favorable shift to advisory-only models prioritizes investor interests.

Summary of Chapter 3 from "Coffee Can Investing"

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Mr Talwar's Expensive Investment Products

Mr. Talwar, focused on gross returns, suffered financially due to high expenses associated with his investments, particularly through Unit Linked Insurance Plans (ULIPs) and stock transactions. These high fees, which included brokerage and fund manager commissions, significantly eroded his net returns, making it essential for investors to consider net returns rather than gross returns.

Expenses, Expenses and More Expenses

Investors incur three main types of expenses:

-

Transaction Fees:

Charges incurred each time a transaction is made, which can accumulate substantially with increased trading activity.

-

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Chapter 4 Summary : The Real Estate Trap

Summary of Chapter 4: Real Estate as an Investment

This chapter discusses the perception of residential real estate in India and its pitfalls as an investment class. The authors emphasize that while residential property is often viewed as a secure asset, it can pose significant risks for investors.

The Residential Real Estate Quagmire

- Owning a home is essential for many Indians, but high urban property prices make this aspiration complex.
- Historically, house ownership was limited among affluent families until the early 2000s when interest rates dropped, and prices surged, capturing investor interest.
- Despite the perceived safety of real estate, it poses various dangers:

-

Investment Size

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: Requires substantial capital, making it exclusive.

-

Liquidity Issues

: Real estate is illiquid and may take years to sell.

-

High Transaction Costs

: Costs often exceed 10% of property value, coupled with high taxation.

-

Non-standard Assets

: Returns vary significantly by location and other factors, making it unpredictable.

-

Regulatory Challenges

: The sector is rife with corruption and complex regulations that benefit developers and politicians over middle-class investors.

Reasons for Trapped Investors

Despite its drawbacks, many affluent Indians disproportionately invest in residential real estate due to:

-

Cultural Norms

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: Historical investment patterns prefer property and gold.

-

Myths

: Many believe real estate prices only rise, reinforced by a lack of reliable price indices.

-

Historical Gains

: Significant returns in the 2003-2013 period create a false sense of security.

-

Focus on Absolute Returns

: Investors often neglect opportunity cost comparisons with equities, leading to mismanaged expectations.

Commercial vs. Residential Real Estate

- Commercial real estate provides more predictable returns with better rental yields compared to residential properties.
- The prices of commercial properties are less volatile primarily due to business rationality versus speculative residential investing.

Investment Avenues in Real Estate

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Various avenues allow participation in real estate aside from direct property purchases:

-

Real Estate Private Equity Funds

: High-risk with delayed returns.

-

Rental Yield Funds

: Aimed at generating income from commercial properties but face liquidity challenges.

-

NCDs (Non-convertible Debentures)

: High returns but carry risks, with many defaults occurring.

-

REITs (Real Estate Investment Trusts)

: Popular in developed markets but slow to develop in India; promise transparency and liquidity.

Busting the Myth of Safety in Real Estate

- Global data shows that real estate often underperforms compared to equities over long-term periods, leading to potential misconceptions among investors.

- In India, property values are unaffordable relative to earnings, with low rental yields further indicating

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overvaluation.

- The chapter closes with a cautionary note that a correction in the Indian real estate market is likely inevitable.

Key Takeaways:

1. Real estate has historically produced lower returns than equities and offers little diversification due to high correlation.
2. It is highly illiquid with significant transaction costs, further diminishing its appeal as an investment.
3. The recent bull run in Indian real estate may have inflated prices unsustainably, suggesting that a time correction may be imminent.

The authors advise investors like Mr. Talwar and Mr. Sanghvi to reconsider their investment strategies regarding real estate, highlighting the need for a decisive pivot away from traditional assumptions.

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Critical Thinking

Key Point: Questioning the Safety of Real Estate Investments

Critical Interpretation: While Mukherjea critiques the perception of real estate as a safe investment in India, questioning this viewpoint is crucial. The author's assertion that real estate produces inferior long-term returns compared to equities, while compelling, does not universally apply to all markets. Investors should wise up to the possibility that some regions or conditions might yield different outcomes. Alternatives exist, such as 'Investopedia' and 'MSCI' reports that emphasize variable returns across asset classes, suggesting that property can be a robust investment under certain circumstances. It is important for readers to scrutinize these perspectives and analyze their own financial goals and market conditions before making definitive investment decisions.

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Chapter 5 Summary : Small Is Beautiful

How Indians Fell in and Out of Love with Stocks

Retail investors in India initially embraced stock market investing between 1990 and 1995, experiencing significant gains due to liberalization policies. However, this enthusiasm waned in the late 1990s as fraudulent activities emerged, prompting regulatory reforms from SEBI aimed at cleaning up the market. Despite these efforts, retail investors diverted their savings from stocks to real estate and gold, particularly due to the allure of unaccounted wealth.

The Retail Investor Returns to the Stock Market

Since 2015, there has been a reversal in asset class preferences as aggressive measures against black money led to a decline in real estate investments. Key initiatives like Direct Benefit Transfers, demonetization, and the Real Estate Regulatory Act have encouraged investors to return to the stock market, evidenced by a surge in mutual fund inflows and active accounts.

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Small-Caps Outperform Large-Caps for Different Time Periods

Research shows that small-cap stocks have consistently outperformed large-cap stocks across various markets and time frames, supported by heightened investor interest in small-caps due to better growth potential. In India, small-cap indices have notably surpassed large-cap counterparts.

Why Should a Portfolio of ‘Great’ Small-Caps Outperform?

Small-cap companies tend to grow profits faster than their larger counterparts, benefiting from market discoveries as they gain analyst coverage and investor interest. However, small-caps also face greater risks including management issues and accounting problems, making professional guidance essential for investors.

The Drop in the Cost of Capital Helps Small-Caps Disproportionately

As the cost of capital decreases in India, smaller companies stand to benefit more than larger firms. Improved access to

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capital from new financial instruments enhances their growth potential and competitiveness.

Investors Need Professional Help in Identifying High-Quality Small-Caps

Small companies often face unique challenges that hinder scalability, reflecting the need for robust management practices. The risk of accounting issues also tends to increase with smaller firms. Despite these challenges, investing in small-cap funds managed by experienced professionals can lead to superior long-term returns.

The Three Key Takeaways from This Chapter

1. Small-caps have outperformed large-caps due to faster profit growth and increased market recognition, leading to greater coverage by analysts and institutional investors.
2. Recent governmental actions against black money have diverted savings back toward the financial system, benefiting smaller businesses disproportionately.
3. Although small-caps offer higher potential returns, they also require a greater need for professional oversight, with

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several quality small-cap investment options available in the Indian fund management sphere.

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Chapter 6 Summary : How Patience and Quality Intertwine



Summary of Chapter 6: Coffee Can Investing

Understanding Investor Pessimism

Over 26 years, BSE Sensex delivered a compounded annual return of 13.7%, significantly above the risk-free rate and inflation. Despite these positive returns, many Indian investors remain pessimistic about equity markets due to a phenomenon termed 'myopic loss aversion,' which suggests that people regret losses more intensely than they rejoice over equivalent gains.

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Patience Premium in Investing

The probability of positive returns from the Sensex increases with longer holding periods. For a one-year holding period, the return probability was 68%, suggesting that investors need to hold investments for at least one year to begin alleviating regret over losses. The concept of 'patience premium' indicates that longer holding periods often result in higher returns.

Volatility and Risk Reduction

As the holding period increases, the volatility of returns decreases. For one-year periods, the potential for both massive gains and significant losses exists. However, over longer periods (three to ten years), returns stabilize, yielding lower risk and higher median returns.

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Chapter 7 Summary : Pulling It All Together

Chapter 7 Summary: Coffee Can Investing

Introduction

The chapter discusses the importance of financial planning and investment strategies as exemplified through the fictional characters Mr. Talwar and Mr. Sanghvi. Key insights highlight that investing in high-quality portfolios for the long term can lead to significant wealth creation, while also emphasizing the risks associated with inflation and costs.

Mr Talwar: Piecing it Together for a Secured Life

During a detailed financial planning session with advisor Nikhil, Mr. Talwar realizes every personal goal has a financial cost. The concept of the 'time value of money' comes into play as he learns that planning is crucial to meet his future expenses, especially given inflation. His initial

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investments are primarily in real estate, demonstrating a common trend in India where a majority of assets are held in real estate rather than financial instruments.

Financial Goals

Mr. Talwar's goals are categorized into three areas:

-

Security

: Child education and financial safety.

-

Stability

: Maintaining a desired lifestyle.

-

Ambitions

: Aspirational goals, such as vacations and luxury purchases.

Upon estimating the costs of fulfilling these ambitions, Nikhil calculates that Mr. Talwar needs a return of 21% per annum from his investments, which prompts the need to revise his goals for feasibility.

Revised Goals and Portfolio

After reducing his ambitions, Mr. Talwar's required rate of

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return drops to a more achievable 16%. Nikhil proposes an asset allocation of 80% in equity and 20% in debt, consisting of large-cap stocks, a Coffee Can Portfolio, and small-midcap investments to ensure diversification and manage risks.

Equity and Debt Allocation

-

Equity Allocation

: Large-cap stocks anchor the portfolio, supplemented by a Coffee Can strategy (focused on high-quality, consistent companies) and small-midcap stocks for higher returns.

-

Debt Allocation

: Nikhil emphasizes other high-quality debt investments, particularly in mutual funds for tax benefits and safety.

Mr Sanghvi: The Need for Cash Flows

Mr. Sanghvi's financial planning reveals a different scenario where he faces higher lifestyle expenses. Despite the need for a higher return expectation, he wants to maintain his current lifestyle. Nikhil advises a greater allocation to equities (85%)

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and a focus on dividend-paying mutual funds to support cash flow needs.

Conclusion: Key Takeaways

1.

Establish a financial plan

: Crucial for quantifying and rationalizing life goals and setting appropriate return expectations.

2.

Understand expenses

: Recognizing the long-term negative impact of compounding expenses on investments.

3.

Prioritize high-quality investing and patience

: Avoid knee-jerk reactions to market volatility to reap long-term gains.

This chapter emphasizes the cumulative effect of strategic financial planning and disciplined investing in achieving long-term wealth.

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Chapter 8 Summary : Designing Your Own Financial Plan

Chapter 8 Summary: Financial Planning and Investment Strategies

Introduction

Michael Jordan's quote emphasizes the importance of action in achieving goals. The chapter focuses on the significance of aligning investment style with financial objectives through effective financial planning.

The Ambit Financial Planning Tool

The chapter introduces the Ambit Financial Planning Tool, available for free, which aids in building a personalized financial plan by analyzing annual cash flows, liabilities, assets, and specific goals.

Financial Planning Process

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Step 1: Key in Cash Flows

- Gather information on post-tax income and expected growth.
- List current and future expenses, factoring in inflation.
- Include ongoing loan repayments (EMIs) in expenses.

-

Step 2: Current Portfolio and Assets

- Classify assets into personal, market, and aspirational categories.
- This classification helps in understanding potential growth and risk associated with each asset type.

-

Step 3: Key in Your Goals

- Identify and categorize goals into security, stability, and ambition.
- This categorization aids in prioritizing goals and determining necessary adjustments based on financial capability.

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Output and Required Rate of Return

Using the inputs from Mr. Kumar's financial situation, the tool calculates future cash flows and determines the required rate of return to achieve his goals, which in this case is 13.3% post-tax. Suggested investment allocations include a mix of ETFs, Coffee Can Portfolio, Good & Clean Portfolio, and short-term debt mutual funds.

Final Thoughts

Financial planning is not a one-time task; it should be reviewed regularly, especially after significant life changes. A dynamic and well-managed financial plan enhances the potential to achieve personal and financial goals effectively.

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Best Quotes from Coffee Can Investing by Saurabh Mukherjea with Page Numbers

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Chapter 1 | Quotes From Pages 18-39

1. 'The best time to plant a tree was twenty years ago. The second best time is now.'

Chapter 2 | Quotes From Pages 40-77

1. 'For indeed, the investor's chief problem—and even his worst enemy—is likely to be himself.'
2. 'An investment in knowledge pays the best interest.'
3. 'When we own portions of outstanding businesses with outstanding managements, our favourite holding period is forever.'
4. 'Over the long term, it's hard for a stock to earn a much better return than the business which underlies it earns.'
5. 'The ancient Romans were used to being defeated. Like the rulers of history's great empires, they could lose battle after battle but still win the war. An empire that cannot sustain a

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blow and remain standing is not really an empire.'

Chapter 3 | Quotes From Pages 78-104

1. 'Beware of little expenses. A small leak will sink a great ship.'
2. Most literature on finance is about investing money wisely to generate stellar returns. As a result, investors tend to focus largely on gross returns without realizing that high expenses can be just as damaging to their long-term financial health as weak returns.
3. In the investment world, there are primarily three types of expenses that the investor, knowingly or unknowingly, pays for: Transaction fees, Annual fees, Hidden fees.
4. Expenses too can compound over time!
5. Given the effect of these expenses over long periods of time, they often become the single biggest driver of returns, especially in a world where fund managers with broadly similar capabilities are slugging it out daily in the stock market.
6. The old model of manufacturing and distributing mutual

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funds is broken at every level in India.

7. Investors can now directly buy mutual funds from the fund manufacturers at the click of a button.

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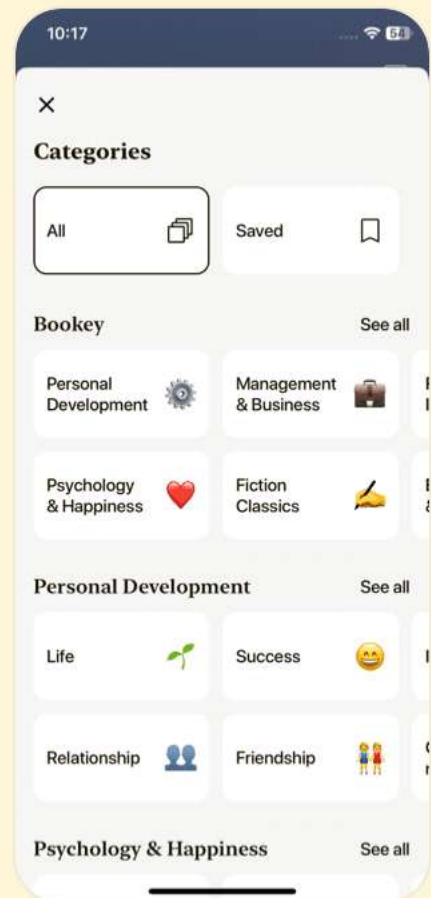
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Chapter 4 | Quotes From Pages 105-130

1. 'He is not a full man who does not own a piece of land.' —Hebrew proverb
2. 'Many of the truths we cling to depend greatly on our point of view.' —Obi-Wan Kenobi

Chapter 5 | Quotes From Pages 131-154

1. 'At the end of the day, small business success should just be a way station on your way to large business success.'
2. 'Given a little more time, Deccan could have weathered the storm and overcome the cash crunch but time was running out.'
3. Investing in small-caps alongside such a fund manager can materially boost investors' long-term returns.

Chapter 6 | Quotes From Pages 155-170

1. 'I have seen many storms in my life. Most storms have caught me by surprise, so I had to learn very quickly to look further and understand that I am not capable of controlling the weather, to exercise

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the art of patience and to respect the fury of nature.'

—Paulo Coelho

2. 'We regret losses two to two-and-a-half times more than similar-sized gains.'
3. 'The probability of a positive return from BSE Sensex over the past thirty years has risen exponentially as we increase the holding period from one month to ten years.'
4. 'Patience premium in equity investing...moves from 'high-risk low-return' to 'low-risk high-return'.
5. 'The quality premium...the quantum of the quality premium is higher for shorter holding periods compared to longer holding periods.'
6. 'An investor who is able to combine patience with high-quality portfolio construction thus pulls off the holy grail of investing—outstanding returns with low levels of volatility.'

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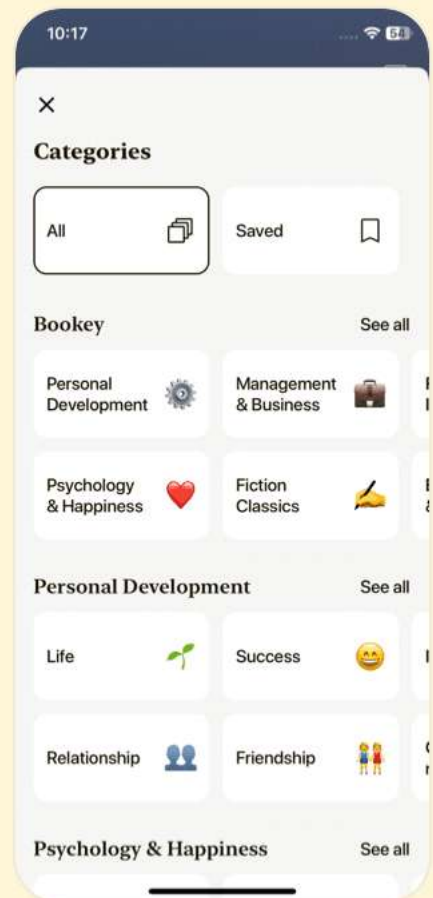
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Chapter 7 | Quotes From Pages 171-202

1. 'A man who has committed a mistake and doesn't correct it is committing another mistake.'
2. 'Never forget that risk, return, and cost are the three sides of the eternal triangle of investing.'
3. Investing for long periods of time in high-quality portfolios . . . should lead to significant and sustainable wealth creation.
4. Our ability to meet those costs becomes the bedrock of our peace of mind and happiness.
5. Ultimately, investment is as much about discipline as it is about being smart.

Chapter 8 | Quotes From Pages 203-215

1. 'Some people want it to happen, some wish it would happen, others make it happen.' —Michael Jordan, basketball legend
2. It is important to link your investment style with your financial objectives; otherwise you will end up either taking unnecessary risks or undershooting your financial

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goals.

3. Our endeavour is to leave you with enough expertise and tools to create a plan for yourself.
4. The tool helps you build your own financial plan with the help of basic information like your annual cash flows, your liabilities, your assets and most importantly, your goals.
5. Your goals are at the heart of this whole financial planning exercise because ultimately you are doing this to ensure that you are able to meet those goals.
6. Financial planning is a dynamic exercise and needs to be carried out periodically or whenever any significant change occurs in your cash flow, assets or goals.

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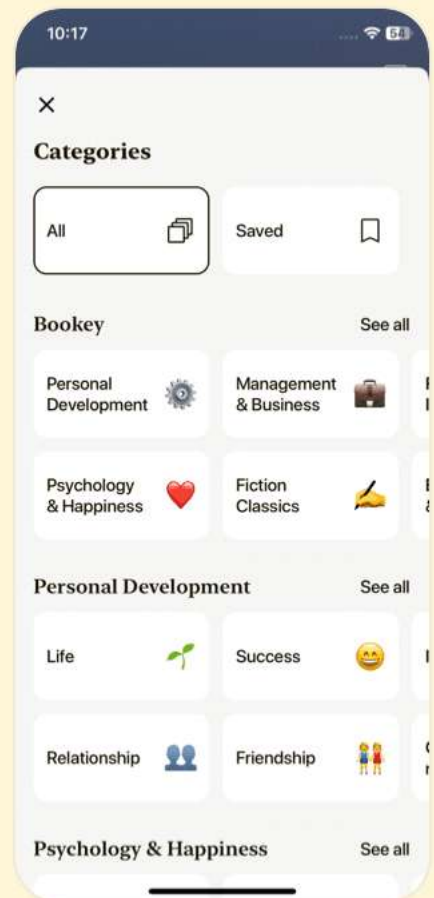
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Coffee Can Investing Questions

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Chapter 1 | Mr Talwar's Uncertain Future| Q&A

1.Question

What lesson can we learn from Mr. Talwar's reflections about his career and finances?

Answer:Mr. Talwar's reflections highlight the importance of having a financial plan aligned with personal goals. Despite his academic achievements and a stable career, his financial insecurity was partly due to a lack of strategic investment planning and reliance on traditional assets that underperformed. The lesson is that starting with a clear objective and investing thoughtfully can lead to better financial outcomes.

2.Question

How does the quote 'The best time to plant a tree was twenty years ago. The second best time is now' apply to investing?

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Answer: This quote underscores the idea that while it's ideal to start investing early, it's never too late to begin. The second-best time is when one recognizes the need to take action. Mr. Talwar's realization that he needs to change his investment strategy reflects this sentiment; he must act now to secure a better financial future.

3.Question

What critical mistakes did Mr. Talwar make in his investment journey?

Answer: Mr. Talwar made several crucial mistakes: he traded too frequently, lacked a clear investment strategy, failed to diversify his portfolio, chased short-term returns, and underestimated the impact of inflation and taxes on his investments. These mistakes led to subpar returns and financial insecurity.

4.Question

Why is it important for investors to consider long-term goals instead of focusing solely on immediate gains?

Answer: Long-term goals allow investors to create a

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structured approach to their finances. Focusing on immediate gains can lead to a reactive investment strategy that may overlook crucial factors like market timing and asset volatility, as seen in Mr. Talwar's experience. A long-term perspective helps in making informed decisions that align with sustainable wealth growth.

5.Question

What does Nikhil's analysis of Mr. Talwar's portfolio reveal about the importance of investment returns?

Answer:Nikhil's analysis revealed that Mr. Talwar was earning only 4% per annum over 27 years, which is woefully inadequate compared to inflation and his financial needs. It underscores the necessity of understanding one's investment returns and adjusting strategies accordingly to achieve financial objectives.

6.Question

What role does patience play in investment success according to the narrative?

Answer:Patience is a fundamental aspect of investment

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success. The narrative emphasizes that long-term capital appreciation, particularly in equities, requires time for the compounding effect to take place. Both Mr. Talwar and Mr. Sanghvi learned that impulsive trading, driven by short-term market fluctuations, undermines the potential for wealth accumulation.

7.Question

How does the story reflect the psychological aspects of investing?

Answer: The story illustrates that investing isn't just a numbers game; it's deeply psychological. Mr. Talwar's feelings of being an underachiever despite his corporate success highlight the stress and anxieties that accompany financial decision-making. Emotional responses can lead to poor choices, such as avoiding equities due to past losses or excessive trading.

8.Question

What fundamental shift did Mr. Talwar agree to make after meeting Nikhil?

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Answer:After meeting Nikhil, Mr. Talwar agreed to significantly increase his allocation to equities from almost negligible to 80% of his corpus, recognizing the potential of equities for long-term wealth creation. This shift was crucial for aligning his investment strategy with his financial goals.

9.Question

Why is financial education crucial according to the chapter's conclusions?

Answer:Financial education is crucial because it empowers individuals to make informed decisions, avoid common pitfalls like those experienced by Mr. Talwar and Mr. Sanghvi, and understand the long-term implications of their investment choices. With better knowledge, investors can structure their portfolios to meet their financial goals effectively.

Chapter 2 | Coffee Can Investing| Q&A

1.Question

What is the main challenge for investors according to Benjamin Graham?

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Answer: The main challenge for investors is often themselves; they struggle with emotional decision-making and allowing market madness to influence their actions.

2.Question

What can we learn from Sir Isaac Newton's experience with the South Sea Company?

Answer: Newton's experience demonstrates that even the smartest individuals can be poor investors when swayed by emotions and market hype, emphasizing the importance of emotional discipline in investing.

3.Question

What two critical questions should investors focus on in equity investing?

Answer: Investors should focus on two critical questions:

'Which stocks should I buy?' and 'For how long should I hold the stocks I bought?'

4.Question

How does the author differentiate between 'punting' and 'investing'?

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Answer: Investing involves informed decision-making based on fundamentals, while punting is characterized by impulsively buying stocks based on hearsay without understanding the underlying business.

5.Question

What principles guide Warren Buffett's investment philosophy?

Answer: Buffett seeks companies with understandable businesses, favorable long-term economics, trustworthy management, and a sensible price. He favors holding these investments indefinitely.

6.Question

What is the concept of the 'Coffee Can Portfolio'?

Answer: The 'Coffee Can Portfolio' consists of carefully chosen stocks that investors buy and hold for a minimum of ten years, capitalizing on long-term growth and compounding.

7.Question

Why is long-term holding important in investing?

Answer: Long-term holding allows the power of

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compounding to significantly increase returns, as the positive contribution from winning stocks outweighs the losses from underperformers.

8.Question

What are the criteria for building a Coffee Can Portfolio in India?

Answer:The criteria include identifying companies with a market cap over Rs 100 crore that have consistently grown sales at least 10% per year and generated a Return on Capital Employed of at least 15%.

9.Question

What factors contribute to the success of the Coffee Can Portfolio?

Answer:The Coffee Can Portfolio performs well due to its focus on high-quality companies with sustainable competitive advantages and the adherence to a buy-and-hold strategy.

10.Question

How does the Coffee Can Portfolio react during stressful market periods?

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Answer: The Coffee Can Portfolio tends to outperform benchmarks even during market downturns, proving resilient and robust in challenging conditions.

11.Question

What is the significance of Return on Capital Employed (ROCE) in the Coffee Can strategy?

Answer: ROCE is crucial as it indicates how efficiently a company utilizes its capital to generate profits. A minimum ROCE of 15% ensures companies can sustainably grow beyond their cost of capital.

12.Question

How do emotional factors impact investment decisions, according to this chapter?

Answer: Emotional factors lead to impulsive decisions, often driven by market noise and short-term price movements, diverting focus from long-term fundamentals and slowly eroding capital.

13.Question

In what way does the chapter suggest we redefine our approach to risk and returns in investing?

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Answer: The chapter suggests that higher returns don't necessarily require taking higher risks; rather, a disciplined approach towards selecting quality investments and holding them long-term is more effective.

Chapter 3 | Expenses Matter| Q&A

1.Question

What should investors focus on when evaluating their investment returns?

Answer: Investors should focus on net returns, which account for all fees, commissions, and expenses incurred, rather than just gross returns, as high expenses can dramatically reduce the effective returns over time.

2.Question

How do seemingly small transaction fees affect overall investment returns?

Answer: Even small transaction fees, when accumulated through frequent trading or high portfolio turnover, can lead to significant long-term costs; for example, a 0.5% fee can

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become 5% if the investor buys and sells multiple times in a year.

3.Question

What are the drawbacks of Unit Linked Insurance Plans (ULIPs)?

Answer:ULIPs typically carry high fees, with up to 60% of the first-year premiums being consumed by expenses, which severely limits the capital available for actual investments.

4.Question

How have expenses in mutual funds changed over the years in India?

Answer:While mutual fund expenses in India remained high for many years, regulatory interventions by SEBI have helped cap fees and promote direct investment options, allowing investors to significantly lower costs.

5.Question

Why is the trend towards passive fund management increasing?

Answer:The performance of actively managed funds has decreased in consistency and alpha generation, leading many

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investors to prefer low-fee passive funds like ETFs that replicate market indices without the high costs.

6.Question

What is the importance of direct fund schemes for investors?

Answer:Direct fund schemes allow investors to bypass intermediaries, significantly reducing fees and maximizing their potential returns, as there are no commissions paid to distributors.

7.Question

How does the 'alpha squeeze' phenomenon affect active mutual funds in India?

Answer:The 'alpha squeeze' indicates diminishing outperformance by active large-cap equity funds due to increased competition and market efficiency, suggesting that investors may be better off in passive funds.

8.Question

What are the implications of high fund expenses over a 30-40 year investment horizon?

Answer:High fund expenses can compound over decades,

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with the potential to erode substantial amounts of an investor's returns; for instance, a Rs 1 lakh investment could become over Rs 2 crore less because of high fees.

9.Question

What major change has SEBI implemented regarding financial advisers and distributors?

Answer:SEBI has mandated a separation of roles where a broker cannot also act as an adviser, ensuring that advisers no longer have a conflict of interest, as they are compensated directly by the clients they serve.

10.Question

What are the three key takeaways from the chapter regarding investing?

Answer:1. Fund expenses are crucial and can significantly diminish returns due to compounding effects over time. 2. Alpha in large-cap equity funds is minimal, promoting the use of passive investment vehicles. 3. Investors should seek only advisory services to align interests, rather than using brokers tied to a fund.

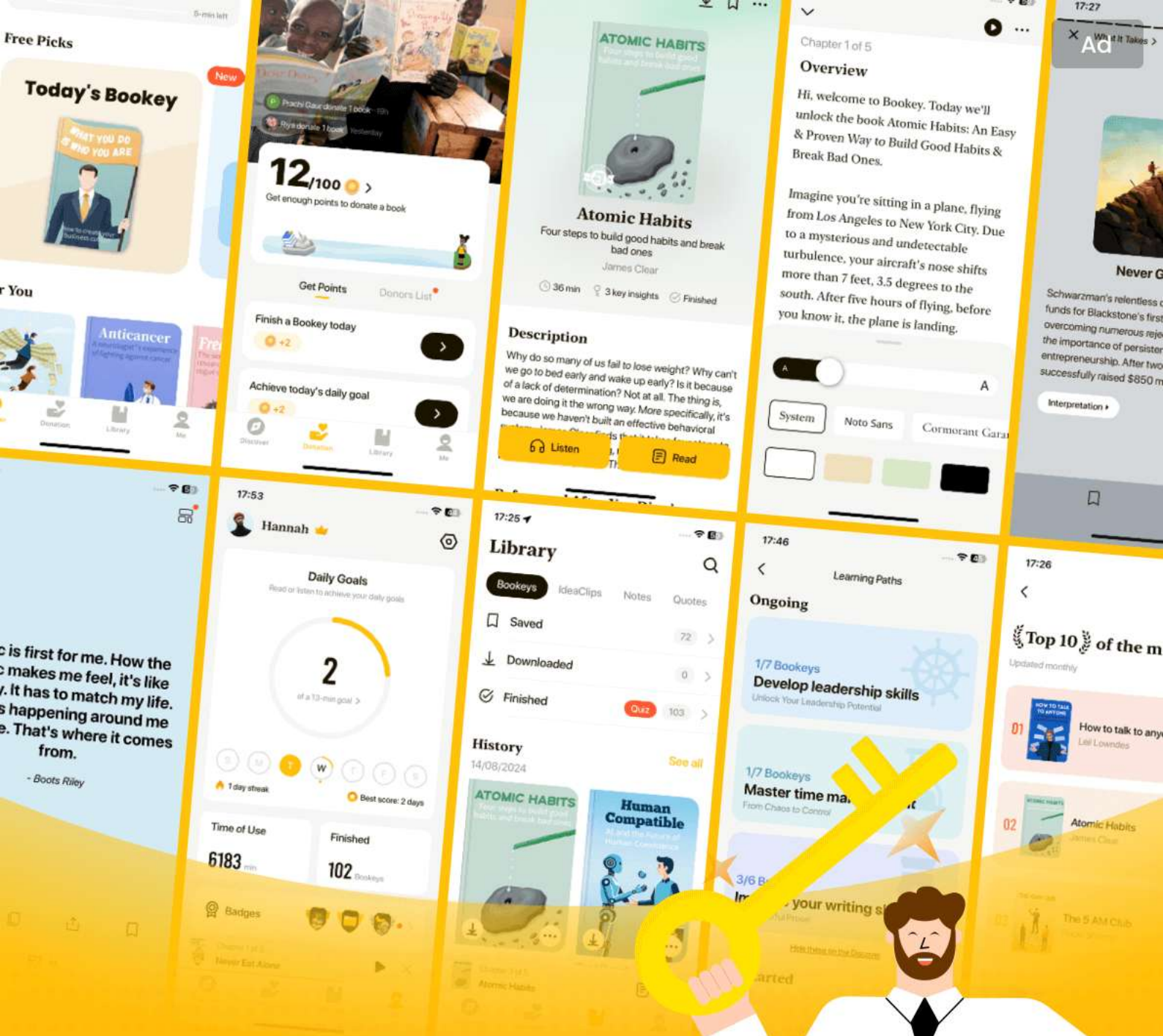
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Chapter 4 | The Real Estate Trap| Q&A

1.Question

Why is real estate often seen as a secure investment, and why can this perception be misleading?

Answer:Real estate is traditionally viewed as a secure investment in India because it symbolizes safety, status, and prestige. This viewpoint is deeply rooted in cultural values that equate property ownership with financial prosperity. However, this perception can be misleading due to several reasons: large transaction sizes that make it more of a wealthy person's asset, illiquidity that prevents quick sales during downturns, high transaction costs that erode returns, and the non-standard nature of properties which makes it hard to predict prices. Furthermore, the residential real estate market is riddled with corruption and regulatory hurdles, adding to the risk.

2.Question

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What factors contributed to the real estate boom in India from 2003 to 2013?

Answer: Several factors contributed to the real estate boom in India during this period: falling interest rates made housing more affordable, an increase in loan-to-value ratios allowed buyers to borrow more, rising household incomes enabled more people to buy homes, and a cultural belief began to take hold that house prices would only increase. This belief was further fueled by significant price appreciation in major cities, creating a cycle of investment based on past successes rather than sound financial principles.

3.Question

How does residential real estate compare to commercial real estate in terms of investment safety?

Answer: Commercial real estate tends to be a safer investment compared to residential real estate. This is because commercial properties typically generate rental income that provides immediate cash flow, while residential real estate is often seen as primarily an appreciating asset, with income

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generation seen as secondary. Additionally, commercial properties are less subject to volatility since their prices are influenced by business profitability, making them less speculative in nature. Moreover, the higher rental yields associated with commercial properties provide a more stable income stream.

4.Question

What is the common misconception about the potential returns on real estate investments?

Answer: Many investors mistakenly focus on absolute returns without considering the compounded annualized returns on their real estate investments. For example, while a property may have increased significantly in value over a long period, the actual annualized return may be much lower than that of equities. This leads many real estate investors to believe they are performing exceptionally well when, in fact, they could have achieved better returns through other investment avenues, particularly in equities.

5.Question

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How have global trends in real estate investment influenced perceptions in India?

Answer: Global trends demonstrate that real estate has often yielded lower long-term returns compared to equities.

Historical data shows that, for instance, real estate in the U.S. gave an annual compounded return of only 0.4% since 1900, versus a much higher return from equities. This indicates that real estate can go through long cycles of booms and busts, which are often forgotten during prosperous times, leading to inflated expectations among investors in India.

6.Question

What are the key reasons investors get trapped in residential real estate despite its drawbacks?

Answer: Investors are often trapped in residential real estate due to the familiarity and traditional view of property as a secure investment, past successes that create a false sense of security, societal pressure to own property as a status symbol, and the emotional attachment to homes that blurs objective financial judgment. Moreover, the illiquidity and long

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holding periods may make it difficult for investors to realize their losses or pivot to more profitable investments.

7.Question

What essential questions should investors ask themselves about including real estate in their portfolios?

Answer: Investors should ask themselves whether real estate offers true diversification from other asset classes, given its high correlation with equities. They should also consider how the high transaction costs, illiquidity, and the potential for poor long-term returns stack up against other investments. Moreover, evaluating the sustainability of real estate prices in the current economic environment is crucial to making informed investment decisions.

Chapter 5 | Small Is Beautiful| Q&A

1.Question

What inspired the retail investors in India to invest in stocks between 1990 and 1995?

Answer: The combination of economic liberalization policies implemented by the P.V. Narasimha Rao-led

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Congress government and the significant rise of the BSE Sensex from 1000 to over 4000 points created a euphoric environment, encouraging retail investors to pour their savings into the stock market.

2.Question

How did the transition from physical shares to electronic share certificates in 1996 affect investor behavior?

Answer: This regulatory change aimed at curbing malpractices initially deterred retail investors from participating in the market for the next two decades, leading them to shift their investments towards real estate and gold instead.

3.Question

What significant actions did the NDA government take after 2015 that affected investor sentiment in India?

Answer: The NDA's multi-pronged approach to tackling black money, including measures such as Direct Benefit Transfer and demonetization, reduced corruption and persuaded investors to return to the stock market, shifting

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focus away from real estate.

4.Question

Why do small-cap companies tend to outperform large-cap companies?

Answer:Small-cap companies generally grow their profits faster, especially during times of economic acceleration, and as they gain traction, they attract greater interest from analysts and institutional investors, leading to a 'discovery' effect.

5.Question

What does the concept of 'Darwinism in the Marketplace' imply regarding small and large companies?

Answer:This concept suggests that in a competitive market, companies that can adapt to changes—like small-cap firms—are more likely to thrive, while complacent large-cap firms may falter due to a lack of agility and innovation.

6.Question

What are the main risks associated with investing in small-cap companies compared to large-cap companies?

Answer:Small-cap companies often face greater operational

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challenges and management issues due to less professional oversight, are more susceptible to market fluctuations based on single product performance, and have a higher probability of encountering accounting problems.

7.Question

How has the increase in retail investor accounts from September 2014 to June 2017 reflected a changing sentiment towards the stock market?

Answer:The climb from 3.95 crore to 5.82 crore retail investor accounts indicates a rejuvenated confidence in the stock market, driven by several legislative and regulatory changes that fostered a more transparent and attractive investing environment.

8.Question

What is the importance of professional management in the effectiveness of small-cap investments?

Answer:Effective professional management is crucial for small-cap companies in overcoming challenges associated with growth, scaling operations, and maintaining financial discipline, which are often more pronounced in smaller firms

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than in larger, established ones.

9.Question

What are the three key takeaways from this chapter regarding investment strategies?

Answer:1) Small-caps have historically outperformed large-caps due to faster profit growth and market discovery; 2) Recent policies have led affluent investors back to the stock market, enhancing the financial system; 3) Despite the high potential returns, investing in small-caps requires professional guidance due to their inherent risks.

Chapter 6 | How Patience and Quality Intertwine| Q&A

1.Question

Why do many investors believe they lose money in equity markets despite historical positive returns from the Sensex?

Answer:This perception is attributed to 'myopic loss aversion', a behavioral finance concept which states that people tend to regret losses much more than they appreciate gains. For example, if an investor

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buys two stocks — one loses money while the other gains, the pain of the loss often overshadows the joy of the gain, leading to a belief that investing in equities generally results in losses.

2.Question

What is the significance of the one-year holding period in equity investing?

Answer:The one-year holding period is the inflection point where the probability of generating positive returns becomes greater than negative returns for the Sensex. Specifically, historical data shows a 68% probability of gains versus a 32% probability of losses at this duration, demonstrating that patience in equity investing pays off.

3.Question

How does the patience premium affect investment returns?

Answer:The patience premium refers to the increased returns that are garnered through longer holding periods for investments. Historical data suggests that as holding periods

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extend beyond one year up to ten years, investors enjoy not only higher average returns but also lower volatility in those returns, effectively optimizing their risk-reward profile.

4.Question

What is meant by the quality premium in stock investing, and how does it compare over different holding periods?

Answer:The quality premium quantifies the return advantage of higher quality stocks or portfolios over a benchmark like the Sensex. Interestingly, the quality premium tends to be greater for shorter holding periods, suggesting that investors can achieve superior returns through careful selection even in volatile markets, as consistent performance becomes ever more crucial.

5.Question

What do the findings suggest about the relationship between time, quality, and risk in equity investments?

Answer:The findings emphasize that both quality and patience are key to achieving optimal returns: longer holding periods generally result in higher returns with lower

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associated risks. Furthermore, focusing on high-quality investments while maintaining a long investment horizon can yield notably strong returns with less volatility, aligning with the principle of the 'Coffee Can Portfolio' strategy.

6.Question

What key takeaway can investors derive from the discussion of risk versus return for different holding periods?

Answer: The essential takeaway is that by extending their investment horizon and choosing higher-quality stocks, investors can move from a position of high-risk, low-return to a more favorable position of low-risk, high-return, optimizing their overall investment outcomes.

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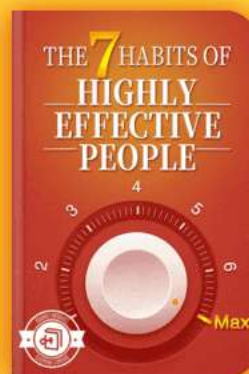
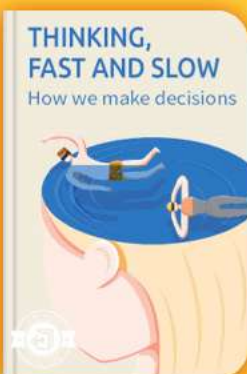


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Chapter 7 | Pulling It All Together| Q&A

1.Question

What fundamental lesson can we learn about investment from Mr. Talwar's experience?

Answer:Mr. Talwar's experience teaches us the importance of creating a financial plan that clarifies and quantifies our life goals. By understanding the time value of money and the impact of inflation, he learned that simply having the cash today is insufficient for future needs. Investment should align with clear goals, requiring a realistic rate of return to ensure financial security.

2.Question

How does inflation affect financial planning and investment strategies?

Answer:Inflation increases the future cost of goods and services, meaning that what we can buy today may be worth significantly less in the future. This necessitates that investments must outpace inflation to ensure that savings

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grow adequately. For instance, Mr. Talwar needed to achieve a 21% return to meet the inflated costs of his planned purchases, illustrating the critical need for investments that can generate returns above the inflation rate.

3.Question

Why is it important to categorize financial goals, and what are the three categories mentioned?

Answer: Categorizing financial goals helps prioritize and strategize effectively for achieving them. The three categories are 'Security' (essential for reducing anxiety), 'Stability' (maintaining a standard of living), and 'Ambitions' (aspirational goals that create status). This organization reinforces the necessity for comprehensive planning to achieve both essentials and desires over time.

4.Question

What investment strategy did Mr. Talwar's advisor suggest and why?

Answer: Mr. Talwar's advisor suggested an asset allocation strategy focusing on 80% equity and 20% debt, emphasizing

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the importance of low-cost financial instruments such as ETFs and direct schemes. This strategy aims to optimize returns while minimizing expenses, aligning with long-term wealth creation goals.

5.Question

How do 'good and clean' investment principles apply in selecting stocks and mutual funds?

Answer:The 'good and clean' investment principles emphasize choosing companies that have strong performance records ('good') while ensuring transparency and integrity in their financial reporting ('clean'). This approach helps in identifying high-quality investments that are likely to yield good returns while minimizing risks associated with mismanagement or fraud.

6.Question

What key takeaway can individuals apply in their investment approach based on Mr. Sanghvi's situation?

Answer:Individuals should actively monitor their cash flows and avoid overspending, as seen in Mr. Sanghvi's case. By

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understanding and planning for their financial needs, particularly regarding recurring expenses for lifestyle choices, they can maintain a balanced portfolio that meets both immediate and long-term financial requirements.

7.Question

How can fees impact investment returns, and what approach is recommended to mitigate this?

Answer:Fees can significantly erode investment returns over time due to compounding. It is recommended to choose low-cost investment vehicles, such as index funds and direct mutual fund schemes, which have lower expense ratios. This approach can enhance overall returns and improve portfolio performance.

8.Question

What are the implications of the investment models discussed in the book for the future of investing in India?

Answer:The investment models emphasized in the book suggest a shift towards greater simplicity and lower costs in investment strategies. As active fund management struggles

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to outperform passive models, investors are encouraged to adopt transparent, fee-friendly, and diversified portfolios to take advantage of the growing opportunities in the Indian market. This evolution marks a significant change in how Indian investors can systematically generate wealth.

9.Question

How does the power of compounding play a crucial role in investment success?

Answer:Compounding allows investments to grow exponentially over time, meaning that returns generate returns. By staying invested and not reacting negatively to market volatility, investors can harness this power, resulting in substantial wealth accumulation in the long run. The mantra is to remain patient and allow investments the time they need to bear fruit.

Chapter 8 | Designing Your Own Financial Plan| Q&A

1.Question

How does financial planning link your investment style to your financial goals?

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Answer: Financial planning serves as the essential framework that connects your specific investment style to your overarching financial objectives. It ensures you neither take unnecessary risks that could jeopardize your goals, nor undershoot potential returns. By mapping out expected cash flows, liabilities, and assets alongside your personal goals—whether they are educational, lifestyle, or ambitious desires—you can create a tailored investment strategy that aligns with your financial needs and life aspirations.

2.Question

Why is it important to provide post-tax income when calculating your financial plan?

Answer: Providing post-tax income is crucial because it reflects the actual amount of money you can utilize for your expenses and investments. This figure accounts for taxes that will be deducted from your gross income, giving you a more accurate understanding of your disposable income for

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effective planning.

3.Question

What role do expenses play in Mr. Kumar's financial planning exercise?

Answer:In Mr. Kumar's financial planning, expenses are pivotal as they continue even after he retires. Accurately estimating current and future expenses, including the expected inflation for each category, allows the planning tool to forecast his future cash flows and gauge whether his income will adequately support his lifestyle throughout his retirement.

4.Question

How can categorizing your goals help in financial planning?

Answer:Categorizing your goals into security, stability, and ambition provides clarity on which goals are non-negotiable and which can be adjusted. This enables you to prioritize your financial efforts effectively. For instance, if you find that you need to aim for a higher return that seems out of

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reach, you may consider scaling back on some ambitious goals, ensuring that essential goals, like children's education, remain intact.

5.Question

What is the required rate of return for Mr. Kumar to achieve his financial goals, and how does he plan to achieve that?

Answer:Mr. Kumar needs a required rate of return of 13.3% post tax to meet his financial goals. He plans to achieve this by diversifying his investments, allocating 25% to ETFs, 20% to the Coffee Can Portfolio, 20% to the Good & Clean Portfolio, and 35% to high-quality short-term debt mutual funds. This strategic allocation aims to balance risk while ensuring the necessary growth of his investments.

6.Question

How often should financial planning be revisited, according to the text?

Answer:Financial planning is dynamic and should be revisited periodically or whenever there is a significant change in cash flows, assets, or goals. This ongoing process

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ensures that the financial plan remains aligned with the evolving circumstances of your life.

7.Question

What are some common traps to avoid in financial investing as highlighted in the chapter?

Answer:Common traps to avoid include taking on excessive risks in pursuit of high returns, not aligning your investments with your life goals, and neglecting to regularly update your financial plans in response to life changes which could derail your ability to achieve your set objectives.

8.Question

How does the Ambit Financial Planning Tool assist individuals in creating a financial plan?

Answer:The Ambit Financial Planning Tool provides a structured and user-friendly platform for individuals to input essential financial data such as income, expenses, liabilities, assets, and financial goals. It processes this information to project future cash flows and calculates the required rate of return necessary to meet the user's financial objectives. This

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helps individuals take control of their financial future.

9.Question

Why is it highlighted that financial planning can maximize the chances of achieving your goals?

Answer:Financial planning, when done diligently and conservatively, lays a foundation that enhances financial stability and growth, effectively maximizing the likelihood of achieving both personal and financial goals over time. It acts as a guiding strategy that aligns one's financial actions with defined objectives.

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Coffee Can Investing Quiz and Test

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Chapter 1 | Mr Talwar's Uncertain Future| Quiz and Test

1. Yogesh Talwar had a successful financial journey and felt secure about his retirement savings.
2. The Coffee Can Portfolio advocates for a disciplined and patient long-term investing approach in equities, historically outperforming traditional assets.
3. Both Yogesh and Mukesh were successful in their investment strategies and did not face any common investment errors.

Chapter 2 | Coffee Can Investing| Quiz and Test

1. Many investors face hurdles due to inadequate guidance and misleading theories that associate risks with returns.
2. The Coffee Can Portfolio strategy has a high degree of uncertainty, making it a risky investment.
3. The Coffee Can approach focuses only on short-term

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investments in volatile markets.

Chapter 3 | Expenses Matter| Quiz and Test

1. Fund expenses critically impact long-term returns due to compounding.
2. The negligible alpha in large-cap equity mutual funds makes passive funds a better investment choice.
3. The shift towards an advisory-only model following SEBI regulations benefits brokers more than investors.

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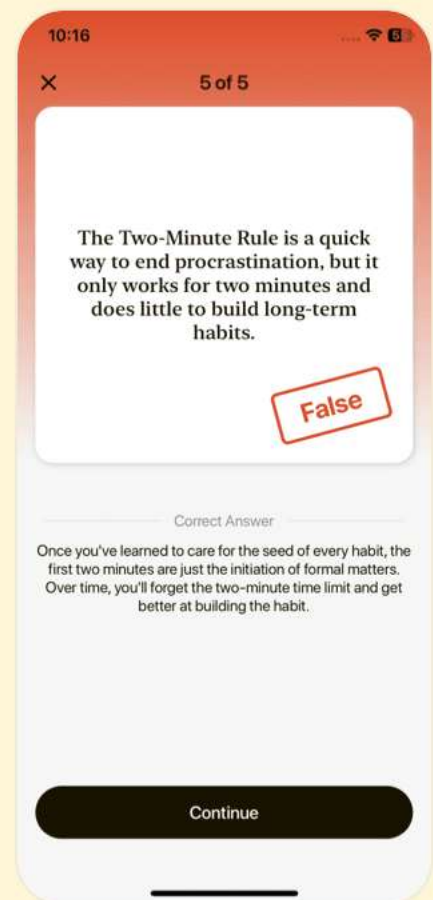
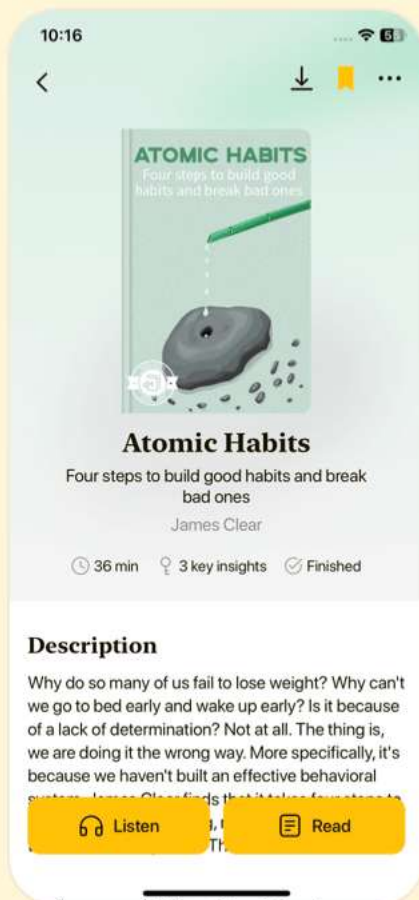


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Chapter 4 | The Real Estate Trap| Quiz and Test

1. Residential real estate is considered a secure asset class in India with low associated risks.
2. Commercial real estate typically provides more predictable returns than residential real estate.
3. The recent bull run in Indian real estate guarantees continued rising prices for the foreseeable future.

Chapter 5 | Small Is Beautiful| Quiz and Test

1. Small-caps have consistently outperformed large-caps due to faster profit growth and increased market recognition.
2. In India, aggressive measures against black money have resulted in more investors choosing real estate over the stock market.
3. Investing in small-cap funds does not require professional oversight due to the low risks associated with small-cap companies.

Chapter 6 | How Patience and Quality Intertwine| Quiz and Test

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1. The BSE Sensex delivered a compounded annual return of 13.7% over 26 years, which is significantly below the risk-free rate and inflation.
2. Investors need to hold investments for at least one year to begin alleviating regret over losses, as indicated by the 'patience premium'.
3. Higher quality portfolios yield lower returns, especially over shorter investment horizons (three to five years).

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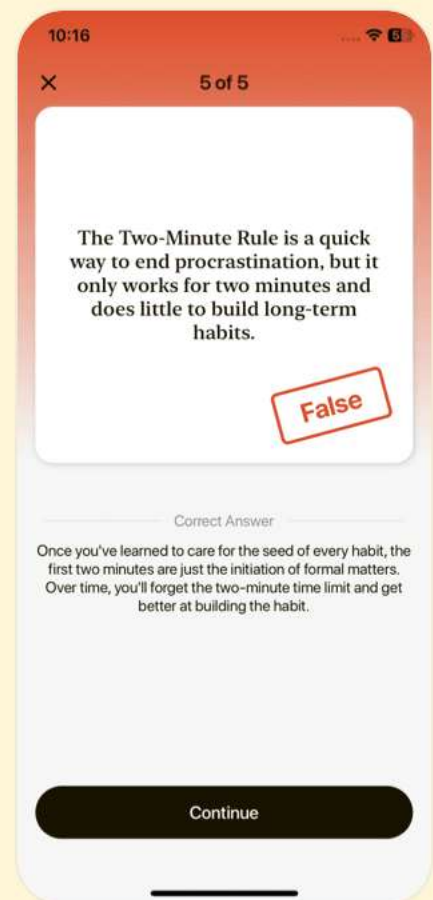
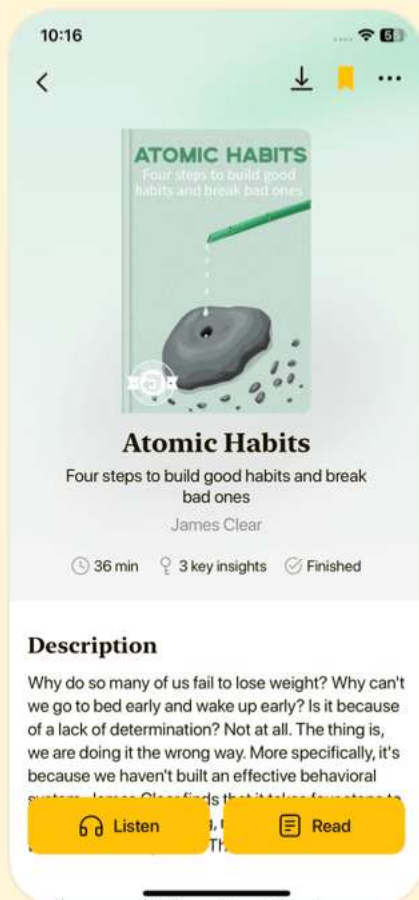


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Chapter 7 | Pulling It All Together| Quiz and Test

1. Investing in high-quality portfolios for the long term can lead to significant wealth creation.
2. Mr. Talwar initially needs a return of 25% per annum to achieve his financial ambitions.
3. The Coffee Can strategy suggests investing heavily in small-cap stocks only.

Chapter 8 | Designing Your Own Financial Plan| Quiz and Test

1. The Ambit Financial Planning Tool is available for free and helps in building a personalized financial plan.
2. The financial planning process involves only one step, which is keying in cash flows.
3. Using the Financial Planning Tool, Mr. Kumar's required rate of return to achieve his goals is 15.5% post-tax.

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